

How one **technology** transformed the **Indian Paint Industry**



Source: Chemical Industry Digest

The Indian Paint Industry grew by 12-13% in the 1990s largely due to growing economy, reduction in excise from 40% to 16% and introduction of one technology that changed the industry for good



Source: Deccan Chronicle

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A brief about current Indian Paint Industry

- **The domestic paint industry** is estimated to be a Rs 500 billion industry
- **The Indian paint industry** has two main market segments – Industrial and decorative paints
- **The Indian decorative business** has a share of approximately 77% in total sales

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HOW IT ALL STARTED (EARLY 90s)

- Earlier, paint companies were required to manufacture **all the shades** (30-50 depending on a product line) **in all the packs** (5 to 8 packs).
- The demand pattern was difficult to predict even with the support of historical data/trends as consumer preferences were changing fast.
- **In the late 1990s, Color dispensing machines,** both computerized and manual, were introduced & have transformed the business processes completely.

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The machines altered the production pattern from **shades to producing bases** thus providing economies of scale, reduced inventory levels and eliminated redundancy of stocks



Source: ParEnterprise.com

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As soon as it was rolled out, approximately 11,000 color-tinting machines were installed at the dealers' end including multiple machines on some counters.



Source: Machine at Asian Paints Colorworld Store in Mumbai

BENEFITS TO MANUFACTURERS & RETAILERS

- Improved new products introduction cycle considerably
- Expanded the range of shades for each product category, offering a wide choice of shades to consumers
- For the retailers, it eliminated the sales loss for want of range/desired shade.

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How Asian Paints Leads the Way

Asian Paints pioneered this movement, and it is now a mainstay of the paint industry.

While Nerolac and Berger together deploy about 20,000 tinting machines through their dealer network, Asian Paints has about 43000 at play, another testament to its superior distribution prowess. **Some Stats of Asian Paints:**



Source: Asian Paints Annual Report

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